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Nature, Evolution, and Context of International Investment Law

1. International Investment Law as a Field of Study

Generally speaking, the role and significance of foreign investment has grown in modern times in two major waves. In the first, earlier period between 1870 and 1914, a new dimension of international financial mobility led to an enormous growth in foreign investment.¹ From a legal point of view, this sea-change was accomplished by way of national laws, which opened up economic frontiers in the absence of international agreements specifically aimed at rules governing foreign investment. However, new international rules on telecommunication and transport facilitated this first change of dynamics in the relationship between national economies. This first modern period of an internationalized economy was halted in 1914 by World War I, by the subsequent troubled economic relations in the 1920s, and by World War II.

After 1945, the pace of growth of foreign investment accelerated slowly after a period of reconstruction, but came to a first peak in the 1990s when foreign investment quadrupled between 1990 and 2000,² again spurred by technological innovations and reduced costs for transport. This new outburst of foreign investment was accompanied by a number of bilateral treaties, which grew from 500 in 1990 to about 2,000 in the year 2000.³ A special feature of this period was that about 80 per cent of foreign investment in developing countries went to only a dozen states, mainly Asian, and that investment in Africa went down. In 2005, the worldwide total inflow of foreign direct investment rose to an historical peak of 916 billion US\$ and the number of signed investment protection treaties

¹ R Baldwin and Ph Martin, 'Two Waves of Globalization: Superficial Similarities, Fundamental Differences' in H Siebert (ed), *Globalization and Labor* (1999) 3.

² See UNCTAD, *World Investment Report: Overview* (2005) 2.

³ UNCTAD, *World Investment Report* (2001) 6.

passed the 2,500 mark.⁴ The financial volume of foreign investment today clearly surpasses the amounts involved in foreign trade.

Parallel to the growth of foreign investment, the principles governing foreign investment have over time developed their own distinct features within the broader realm of international economic law. This is true even though they have been embedded into both the fabric of general international law and into principles, which are, to some extent, common to other segments of international economic law, such as trade law. Today, it remains a matter of semantics whether it is appropriate to speak of the existence of a separate category of 'principles of foreign investment law', given their strong links to international economic law in general. There is no doubt, however, that the current state of the law is characterized by the fact that the international law of foreign investment has become a specialized area of the legal profession and that special courses are offered on the subject matter in universities worldwide. The common usage and parlance in the terminology of international law has always been to single out and to designate distinct fields, such as the 'laws of war' or the 'law of the sea', whenever the body of rules in any one of such areas has become extensive and dense enough to justify special attention and study.

Two decades ago, the state of the rules of international law pertaining to foreign investment had not yet reached such terminological and professional specialization. Until the early 1990s, our area was characterized by a limited set of rules of general international law and by a number of bilateral treaties, which until then did not in practice lead to a significant legal edifice in the form of disputes or of case law.⁵ In the multilateral domain, the ICSID Convention, negotiated as a mechanism for dispute settlement, had already been adopted in 1965, but remained dormant until the early 1990s, with only a handful of cases decided. Since 1990, however, the field of foreign investment law has expanded dramatically. This becomes apparent in the caseload of ICSID with well over 100 cases pending in 2006 and a significant number brought before other fora.⁶

⁴ UNCTAD, *World Investment Report* (2006) XVII, 26.

⁵ In 1970 the International Court of Justice had drawn attention to the slow evolution of investment, discussing relevant rules on diplomatic protection: 'Considering the important developments of the last half-century, the growth of foreign investments and the expansion of international activities of corporations, in particular of holding companies, which are often multinational, and considering the way in which the economic interests of states have proliferated, it may at first sight appear surprising that the evolution of the law has not gone further and that no generally accepted rules in the matter have crystallized on the international plane' (ICJ, *Case concerning the Barcelona Traction, Light and Power Company, Ltd.*, Judgment of 5 February 1970, ICJ Rep. 1970, 3, 47).

⁶ See UNCTAD, *Investor-State Disputes Arising from Investment Treaties: A Review* (2006). As to the consistency of this body of jurisprudence, different views may be expressed. On the one hand, it may be pointed out that by and large the results are acceptable and that certain differences in approach are unavoidable at the beginning of any process of interpretation of agreements based on broad principles applied to cases with distinct factual complexities. On the other hand, it may be argued that areas of disagreement among tribunals exist in the interpretation of key rules and that such divergences will in the long run be seen to be counterproductive in the light of the requirement of predictability, which is at the very heart of the rules on foreign investment.

Foreign investment law consists of layers of general international law, of general standards of international economic law, and of distinct rules peculiar to its domain. The study of the field must take into account and turn to all of these three levels of the law. Moreover, it has long been observed that the rules on foreign investment by necessity also incorporate aspects of the laws of the host state. Depending upon the setting of an individual case and issue, the interplay between relevant domestic rules of the host state and applicable rules of international law may become central to the required analysis of a case; for instance, the domestic definition of an investment, domestic rules addressing the jurisdiction of international tribunals, or the domestic rules on nationality may determine the nature and the outcome of a specific issue.

Not only is the distinction between international law and domestic law becoming blurred by the modern regime of foreign investment law,⁷ the classical separation between public and private law, as emphasized especially in Continental European legal orders, also cannot be accommodated in neat categories in this field. The broad question as to whether the category of international economic law in general allows for a useful distinction between private law and public law is illustrated especially by the consideration of foreign investment law. The rules governing contracts between an investor and a host state draw on both private and public law. In fact, these rules establish a link between domestic law and public international law. To a certain extent, the rules of domestic law are being confronted and superseded by rules of public international law, and in relevant international cases, the decision of arbitrators will turn on their understanding of domestic law, possibly accompanied by a process of review of domestic law under the international standards contained in treaties and in general international law. As a result of these peculiarities, contemporary international investment law has acquired distinct characteristics the understanding of which requires separate study.

2. The Business Nature of a Foreign Investment: A Long-Term Risk

Making a foreign investment is different in nature from engaging in a trade transaction. Whereas a trade deal typically consists in a one-time exchange of goods and money, the decision to invest in a foreign country initiates a long-term relationship between the investor and the host country. Often, the business plan of the investor is to sink substantial resources into the project at the outset of the investment, with the expectation to recoup this amount plus an acceptable rate

⁷ See F. Orrego Vicuña, 'Of Contracts and Treaties in the Global Market' (2004) 8 *Max-Planck Yearbook of United Nations Law* 341.

of return during the subsequent period of investment, sometimes running up to 30 years or more.

A key feature in the design of such a foreign investment is to lay out in advance the risks inherent in such a long-term relationship, both from a business perspective and from the legal point of view, and then to identify a business concept and a legal structure that is suitable not only to the implementation of the project in general but also to minimize risks that may arise during the period of investment. In many cases, this task is essential for the investor, as the money sunk into the project at the outset typically cannot be used subsequently at another location because the machinery and installations of the project are specifically designed and tied to the particularities of the project and its location.

The dynamics in the relationship between the host state and the investor are also different in nature before and after the investment is made. Larger projects are typically not made under the general laws of the host country; instead, the host state and the foreign investor negotiate a deal, an investment agreement, which may also adapt the general legal regime of the host country to the project-specific needs and preferences of both sides. During these negotiations, the investor will try to seek those legal and other guarantees that are deemed necessary in view of the nature and the duration of the project, taking into account bilateral or multi-lateral treaties concluded by the host state, which will provide guarantees on the level of international law. Depending on the project, the investor may be in the driver's seat during these negotiations in case the host state is keen to attract the investor.

The investor will normally bear the commercial risks inherent in possible changes in the market of the project, for example, new competitors, pricing volatilities, exchange rates, or changes affecting the financial setting. In certain transactions, provisions will be made for adaptation or renegotiation in case of a change in the economic-financial context of the project. The political risks, ie the risks inherent in a future intervention of the host state in the legal design of the project, will typically be addressed during these initial negotiations; unless these risks are appropriately addressed in an applicable investment treaty, the investor may ask for protection on a number of points, such as the applicable law, on the tax regime, on provisions dealing with inflation, on a duty of the host state to buy a certain volume of the product (especially in the field of energy production), on the future pricing of the investor's product, or on customs regulation for materials needed for the product, and, especially, on an agreement on future dispute settlement.

Once these negotiations are concluded and the investor's resources are sunk into the project, the dynamics of influence and power tend to shift in favor of the host state. The central political risk that arises for the foreign investor lies in a change of position of the host government that would alter the scheme of burdens, risks, and benefits, which the two sides have laid down when they negotiated the deal and which formed the basis of the investor's business plan and the

legitimate expectations embodied in this plan. Such a change of position on the part of the host country becomes more likely with every subsequent change of government in the host state during the period of investment.

This nature of an investment makes it inevitable that the nature, structure, and purpose of foreign investment law stands out as structurally distinct in the broader realm of international law, especially in comparison to trade. In terms of legal methodology, the difference between the two fields calls for caution in assuming commonalities between foreign investment law and trade law. Whenever an analogy is proposed, or a solution is transferred from one area to the other, it must be examined in detail whether their different nature is amenable to an assumption of commonality. Often, a concept that appears to be in common turns out to have different shades and characteristics upon more detailed analysis, taking into account the peculiar business nature of long-term foreign investment projects.⁸

The treaty-based rules on investment have to be understood and interpreted, like all treaties, in the context of the general rules of international law. This includes not only customary law but also general principles of law within the meaning of Article 38(1) lit. c of the ICJ Statute.⁹ The latter will acquire importance in the context of investment rules under certain circumstances, especially in the case of lacunae in the text of treaties and in the interpretation of individual terms and phrases.

Among the general principles with a broad scope of application, the requirement to observe the rule of good faith is especially pertinent to the law of foreign investment, and investment tribunals have had recourse to this principle.¹⁰ In part, this emphasis on good faith reflects the fundamental significance of the concept for the understanding of all obligations in international law.¹¹ More specifically, however, the subject matter of the field itself may direct tribunals to apply the principle, in view of the long-term relationship in which the investor provides most of the required resources at the outset of the project expecting to receive a fair return in a stable relationship within the legal order of the host state thereafter. The financial long-term risk of the investor finds its legal corollary in the protection of good faith without which investment flows would be hampered.

⁸ See below, p. 184.

⁹ See generally, H Mosler, 'General Principles of Law' in R Bernhard (ed), *Encyclopedia of Public International Law* (1995) 2: 511.

¹⁰ See, eg, *Amco v Indonesia*, Decision on Jurisdiction, 25 September 1983, 23 ILM (1984) 351, para 47; *Tecmed v Mexico*, Award, 29 May 2003, 43 ILM (2004) 133, para 154; *Waste Management v Mexico*, Award, 30 April 2004, 43 ILM (2004) 967, paras 137–140; *Methanex v USA*, Award, 3 August 2005, 44 ILM (2005) 1345, 1408; *Thunderbird v Mexico*, Award, 26 January 2006, para 147; *Saluka v Czech Republic*, Partial Award, 17 March 2006, paras 361–432. (Decisions not yet published in print may be found online at <<http://worldbank.org/icsid/cases/cases.htm>>, <<http://www.investmentclaims.com>>, and <<http://ita.law.uvic.ca>>.)

¹¹ See, eg, Article 31(1) of the Vienna Convention on the Law of Treaties, which states: 'A treaty shall be interpreted in good faith in accordance with the ordinary meaning to be given to the terms of the treaty in their context and in the light of its object and purpose.'

Much is to be said for connecting the basic objectives of investment rules directly with the goals underlying the principle of good faith, given that trust in the future conduct of the host state and the investor lies at the heart of every investment decision.¹² In the light of the duration of investment projects and the multitude of legal and factual matters concerned, it is obvious that investment treaties and also investment contracts will not cover all modalities and possible turns of future events, and the principle of good faith may be applied to situations that are not specifically addressed on the level of treaties or contracts.

So far, investment tribunals have drawn on the principle of good faith in situations involving the renewal of licences,¹³ the introduction of documents during ongoing proceedings,¹⁴ the reliance upon informal communications made by state officials,¹⁵ and the refusal to negotiate on the part of the host state.¹⁶ Investment treaties often refer to the requirement of fair and equitable treatment, and the principle of good faith is discussed in more detail under that heading below.¹⁷

A special area of application of the concept of good faith, which has originally been recognized outside of the field of foreign investment law, concerns the legal effect of unilateral statements and the conditions under which these may be considered binding. Here, the principle of good faith is closely tied to the operation of the principle of estoppel. The International Court of Justice and its predecessor have recognized that such declarations will be binding in case the circumstances and the wording of the statement are such that the addressees are entitled to rely on them.¹⁸ The situation may arise also in the relationship between the host state and the foreign investor. Arbitral tribunals have held so on the basis of the principle of good faith.¹⁹ In *Revere Copper v OPIC*, the arbitral tribunal held that principles of public international law were 'particularly applicable where the question is, as here, whether actions taken by a government contrary to and damaging to the economic interests of aliens are in conflict with undertakings and assurances given in good faith to such aliens as an inducement to their making the investments affected by the action'.²⁰ In the context of the fair and equitable treatment standard (FET), the tribunal in *LG&E v Argentina* found that Argentina had breached the applicable BIT by not abiding by its own legislation in the gas transportation sector: 'Argentina prepared with the investment banks an attractive

¹² See below, p. 21.

¹³ *Tecmed v Mexico*, Award, 29 May 2003, 43 ILM (2004) 133, para 154.

¹⁴ *Methanex v USA*, Award, 3 August 2005, 44 ILM (2005) 1345, 1408, at para 58.

¹⁵ *Thunderbird v Mexico*, Award, 26 January 2006, para 147.

¹⁶ *Saluka v Czech Republic*, Partial Award, 17 March 2006, paras 361–432.

¹⁷ See below, p. 144.

¹⁸ See PCIJ, *Legal Status of Eastern Greenland* (Denmark v Norway), 5 April 1933, Series A/B No. 53, 22, 69; ICJ, *Nuclear Tests* (New Zealand v France), 20 December 1974, ICJ Rep. (1974) 253, 268.

¹⁹ See WM Reisman and MH Arsanjani, 'The Question of Unilateral Governmental Statements as Applicable Law in Investment Disputes' (2004) 19 ICSID Review-FILJ 328.

²⁰ *Revere Copper v OPIC*, Award, 24 August 1978, 56 ILR (1980) 258, 271.

framework of laws and regulations that addressed the specific concerns of foreign investors with respect to the country risks involved in Argentina. [...] Having created specific expectations among investors, Argentina was bound by its obligations concerning the investment guarantees *vis-à-vis* public utility licensees.²¹ In *Waste Management v Mexico*, the tribunal found that in applying the standard of fair and equitable treatment, 'it is relevant that the treatment is in breach of representations made by the host State which were reasonably relied on by the claimant.'²²

It follows from these authorities that acts by the host state conducted in bad faith are at variance with FET. Bad faith action by the host state includes the use of legal instruments for purposes other than those for which they were created. It also includes a conspiracy by state organs to inflict damage upon or to defeat the investment. Although action in bad faith is clearly a violation of the FET standard, *mala fides* is not a condition for such a violation. Action by the host state may be at variance with FET even if the host state maintains with some credibility that its intentions were not in bad faith. In other words, a claimant need not prove bad faith to pursue a claim for violation of the FET standard.

3. Host State Sovereignty and the Rules of Foreign Investment

Under the rules of customary international law, no state is under an obligation to admit foreign investment in its territory, generally or in any particular segment of its economy. While the right to exclude and to regulate foreign investment is an expression of state sovereignty, the power to conclude treaties with other states will also be seen as flowing from the same concept.

Once it has admitted a foreign investment, a host state will be subject to a minimum standard when customary law alone governs.²³ Modern treaties on foreign investment go much beyond this minimum standard in the scope of obligations a host state owes towards a foreign investor. Whether such treaties in general, or any particular version of them, are considered to benefit the host state remains a matter for each sovereign state to decide. In particular, each state will weigh, or at least has the power to weigh, the economic and financial benefits of a treaty-based promotion of foreign investments against the consequences of being bound to the standards of protection laid down in the treaty. None of these benefits and consequences is open to any qualitatively or quantitatively objective assessment,

²¹ *LG&E v Argentina*, Award, 3 October 2006, para 133.

²² See *Waste Management v Mexico*, Final Award, 30 April 2004, 43 ILM (2004) 967, para 98; see also *CMS v Argentina*, Decision on Jurisdiction, 17 July 2003, 42 ILM (2003) 788, para 27, 33.

²³ See E Root, 'The Basis of Protection to Citizens Residing Abroad' (1910) 4 AJIL 517, 528; see below, p. 11.

and each state will exercise its sovereign prerogative in determining its preferences and priorities when it decides whether to conclude an investment treaty.

A debate has arisen over the role that foreign investment treaties play for the growth of foreign investment and its geographic distribution. Empirical evidence pointing to an increase in foreign investment in one state that would be directly caused by the conclusion of new treaties has indeed remained scant, even though recent studies suggest that a positive effect will flow from a treaty.²⁴ It must be realized, however, that legal security in a host country for an investment project is only one factor that will influence an investment decision, and that the driving parameters are determined not by legal, but by economic considerations. Therefore, the assumption that the international legal dimension would in itself prompt an increased flow of foreign investment is unrealistic. On the other hand, globalization has led to fairly accurate real time information about economic and legal matters around the globe, and the lack of legal stability surrounding a potential investment in a particular country may prevent a positive decision on the part of the investor. The perception of a sufficient degree of legal stability for a project, and for the investment climate in a state generally, will be one of several factors in making a decision about new foreign investment, but will not by itself serve as a decisive incentive for potential foreign investors.²⁵

Occasionally, it has been argued that in practice some treaties are negotiated too hastily and without detailed considerations of their implications. Typically, capital-exporting states have formulated a model treaty for their own purpose,²⁶

²⁴ See E Neumayer and L Spess, 'Do Bilateral Investment Treaties Increase Foreign Direct Investment to Developing Countries?' (2005) 33 *World Development* 1567; Z Elkins, A Guzman, and B Simmons, 'Competing for Capital: The Diffusion of Bilateral Investment Treaties, 1960–2000' *Berkeley Program in Law and Economics, Annual Papers* (2006); M Hallward-Driemeyer, 'Do Bilateral Investment Treaties Attract Foreign Investment?' *World Bank Policy Research Working Paper No. 3121*.

²⁵ In 2006 the OECD adopted a Policy Framework for Investment, with a focus on ten policy areas that will determine the degree to which a country is investment friendly (investment policy, investment promotion and facilitation, trade policy, competition policy, tax policy, corporate governance, policies for promoting responsible business conduct, human resource development, infrastructure and financial services development, and public governance). See OECD Policy Framework for Investment, available at <<http://www.oecd.org/dataoecd/1/31/36671400.pdf>>. This framework is also designed to promote the goals of the Millennium Declaration of the United Nations (see Preamble, p. 7).

²⁶ Most capital-exporting countries have drawn up their own model investment agreements. Also, the Asian-African Legal Consultative Committee has produced a model treaty for its members in 1984, with two variants. See Asian-African Legal Consultative Committee: *Models for Bilateral Agreements on Promotion and Protection of Investments*, reprinted in 23 *ILM* (1984) 237. Meanwhile, some developing countries have adopted their own national versions.

From time to time, model treaties are revised to reflect the changing circumstances and priorities. The United States, for instance, has presented a new model treaty in 2004, replacing the 1992 version with significant changes. The first US Model Treaty was adopted in 1981. See KJ Vandeveld, 'The BIT Program: A Fifteen-Year Appraisal' (1992) *ASIL Proceedings* 532, 536.

Obviously, model treaties have no binding force in themselves. Under certain circumstances, their content may become relevant for the interpretation of treaties. For instance, a state may be unable to rely on a certain traditional interpretation of a clause in a treaty if that clause departs from

and they have presented this informal document to the capital-importing states at the beginning of the negotiations as a basis for the subsequent negotiations. Gradually, however, developing states have developed their own preferences for a certain scheme of treaties, sometimes with their own model draft. Also, treaties have been negotiated between developing countries.

As more and more treaties have been concluded, and as the international discussion on the nature and the details of these treaties has progressed, including the contours and substance of individual clauses, any argument to the effect that host states have de facto accepted investment obligations without proper knowledge of their scope and significance will have become less convincing. As explained above, investment treaties are today seen as admission tickets to international investment markets.²⁷ Their limiting impact on the sovereignty of the host state, controversial as it may be in the individual case, is in this sense a necessary corollary to the objective of creating an investment-friendly climate.²⁸

Conceptually, one may ask today whether the operation of the international law of foreign investment amounts to a body of international rules of administrative law governing the relationship of the foreign investor and the host state.²⁹ It is evident that the rules on foreign investment may reach far into segments of domestic law, which would traditionally have belonged to the 'domaine réservé' of each host country. This evolving characteristic feature of foreign investment law has led to concerns not just about the preservation of national sovereignty but also about the democratic legitimacy of the process by which foreign investment law is developed and applied. Indeed, these concerns have not just been voiced by developing countries as recipients of foreign investments. With equal force, this linkage has been observed and criticized by segments of civil society in developed countries and, on the political front, by the United States after it became a member of NAFTA and a respondent in a number of NAFTA cases.

A traditional understanding of the concept of sovereignty detached from current international economic realities may lead to the view that the international rules on foreign investment reach or even cross the lines of what is considered acceptable.³⁰ The rules of foreign investment touch upon domestic regulations as diverse as labour law, the organization of the judiciary, administrative principles,

the model treaty and if the interpretation of the treaty preferred by the state is the one also offered in the model treaty. However, the point resists generalization, particularly because the negotiating history of BITs is usually not available to tribunals.

²⁷ See above, p. 8.

²⁸ R. Dolzer, 'The Impact of International Investment Treaties on Domestic Administrative Law' (2005) 37 *New York University Journal of International Law and Politics* 953.

²⁹ *Op. cit.*

³⁰ So far, only the United States has decided to opt for a treaty that will spell out definitions in great detail, so as to render arbitral decisions more predictable and to reduce the power of arbitrators to elaborate in a broad way on the understanding of general principles contained in the agreement.

environmental law, health law, and, of course, rules governing property. Again, this is one major facet that distinguishes issues of investment law from trade law. It is true that rules of modern trade law also affect domestic matters, but the degree of influence on domestic law, and thus of potential concern from the point of domestic law and of national sovereignty, is more severe when rules of investment law are applied. At the same time, economic literature has emphasized that openness of an economic system to foreign competition is among the factors that contribute to economic growth and to good governance in general. Thus, investment law embodies and represents the nature and the effects of economic globalization, with the potential advantage of economic efficiency and of a higher living standard coupled with a reduced legal power of the national authorities to regulate such areas that have an impact upon foreign investment.³¹

The concept of good governance has in the past decade increasingly influenced the international development agenda. While earlier periods of development practice after 1945 had focused first on the significance of individual important projects and then on the role of macroeconomic policies, the new thinking in the 1990s, along with empirical studies, highlights the fact that all projects and policies depend in their implementation, and indeed, in their conception and formulation, on a functioning state, in particular on functioning institutions.

In consequence, the concept of good governance has moved to the centre of international aid and poverty reduction policies. The first coherent formulation of the concept seems to be contained in a World Bank report written on the development challenges for Sub-Saharan Africa in 1989.³² No single definition has subsequently been adopted, but the core elements have been expressed in working documents by the World Bank³³ and the International Monetary Fund.³⁴ In the treaty between the European Community and African, Caribbean, and Pacific States as adopted in 2000, the so-called Cotonou Agreement, the wording is as follows:

In the context of a political and institutional environment that upholds human rights, democratic principles and the rule of law, good governance is the transparent and accountable management of human, natural, economic and financial resources for the purposes of equitable and sustainable development. It entails clear decision-making procedures at the level of public authorities, transparent and accountable institutions, the primacy of law in the management and distribution of resources and capacity building

³¹ On the power of the host state to control multinational enterprises in general, see C Wallace, *The Multinational Enterprise and Legal Control: Host State Sovereignty in an Era of Economic Globalization* (2002).

³² World Bank (ed), *Sub-Saharan Africa: From Crisis to Sustainable Growth* (1989).

³³ See World Bank (ed), *Governance: The World Bank's Experience* (1994) 12; cf also S Killinger, *The World Bank's Non-Political Mandate* (2003).

³⁴ See IMF (ed), *Good Governance: The IMF's Role* (1997).

for elaborating and implementing measures aiming in particular at preventing and combating corruption.³⁵

Other international documents and declarations have included similar versions, consistent with the writings of economists such as North³⁶ and Eggertson.³⁷

The origin of the concept of good governance falls into the same period as the formulation of the Washington Consensus³⁸ and the beginning of the wave of investment treaties of the 1990s. The common core of the policies embodied in investment treaties, in the Washington Consensus, and in the principle of good governance lies in the recognition that institutional effectiveness, the rule of law, and an appropriate degree of stability and predictability of policies form the governmental framework for domestic economic growth and also for the willingness of foreign investors to enter the domestic market. Thus, investment treaties provide for external constraints and disciplines that foster and reinforce values similar to those of the principle of good governance with its emphasis on domestic institutions and policies.

4. Customary International Law: The Emergence of a Minimum Standard

As early as 1796, John Adams, after having negotiated together with Benjamin Franklin and Thomas Jefferson for the United States their first Treaty on Friendship, Commerce and Navigation with France,³⁹ emphatically highlighted the protection of alien property by the rules of international law:

There is no principle of the law of nations more firmly established than that which entitles the property of strangers within the jurisdiction of another country in friendship with their own to the protection of its sovereign by all efforts in his power.⁴⁰

Until the Communist Revolution in Russia in 1917 neither state practice nor the commentators of international law had reason to pay special attention to rules protecting foreign investment. Treaty practice in the nineteenth century protected alien property not on the basis of an autonomous standard, but by

³⁵ Article 9(3); the substantive paragraph remained unchanged during the 2005 revision. See also P Hilpold, 'EU Development Cooperation at a Crossroad: The Cotonou Agreement of 23 June 2000 and the Principle of Good Governance' (2007) 7 *European Foreign Affairs Review* 53ff.

³⁶ D North, *Institutions, Institutional Change and Economic Performance* (1990).

³⁷ See T Eggertson, *Economic Behaviour and Institutions* (1990).

³⁸ See below, p. 79.

³⁹ For a historical appraisal of the US BIT Program, see KJ Vandavelde, 'The BIT Program: A Fifteen-Year Appraisal' *American Society of International Law, Proceedings of the 86th Annual Meeting* (1992) 532; KJ Vandavelde, 'A Brief History of International Investment Agreements' (2005) 12 *V. C. Davis Journal of International Law and Policy* 157.

⁴⁰ Cited in JB Moore, *A Digest of International Law* (1906) 4: 5.

reference to the domestic laws of the host state; an illustration is found in Article 2(3) of the Treaty between Switzerland and the United States of 1850:

In case of [...] expropriation for purposes of public utility, the citizens of one of the two countries, residing or established in the other, shall be placed on an equal footing with the citizens of the country in which they reside in respect to indemnities for damages they may have sustained.⁴¹

The implicit assumption was that each state would in its national laws protect private property and that the extension of the domestic scheme of protection would lead to sufficient guarantees to the alien investor.

In a famous study, first published in 1868, the Argentine jurist Carlos Calvo for the first time presented a new perspective of this paradigm and asserted that the international rule should in effect be understood as allowing the host state to reduce the protection of alien property when also reducing the guarantees for property held by nationals.⁴² Calvo's view would have left room for all the vagaries of domestic law, allowing both strong guarantees, but also a complete lack of protection. In addition, the Calvo doctrine is based on the view that foreigners must assert their rights before domestic courts and that they have no right of diplomatic protection by their home state or access to international tribunals. Calvo's theory was conceived against the background of gunboat diplomacy by capital-exporting countries and other practices through which these countries imposed their view of international law on foreign governments. In 1907, the Drago-Porter Convention was adopted to prevent the use of force for the collection of debt, and Calvo's radical attack on the protection of foreign citizens seemed to have lost its appeal for the protection of host states.

On the international level, the Calvo doctrine remained at the margins of the debate, and the dominant position was that a state was bound by rules of international law, separate from national law. Elihu Root stated the prevalent position in 1910:

There is a standard of justice, very simple, very fundamental, and of such general acceptance by all civilized countries as to form a part of the international law of the world. The condition upon which any country is entitled to measure the justice due from it to an alien by the justice which it accords to its own citizens is that its system of law and administration shall conform to this general standard. If any country's system of law and administration does not conform to that standard, although the people of the country may be content or compelled to live under it, no other country can be compelled to accept it as furnishing a satisfactory measure of treatment to its citizens.⁴³

⁴¹ Cited in R Wilson, *United States Commercial Treaties and International Law* (1960) 111.

⁴² See Carlos Calvo, *Derecho Internacional Teórico y Práctico de Europa y América* (1868); Charles Calvo, *Le droit international: théorie et pratique* (1896) 3: 138.

⁴³ E Root, 'The Basis of Protection to Citizens Residing Abroad' (1910) 4 AJIL 517, 528.

Nevertheless, the conceptual reorientation proposed by Calvo was to be revived on a practical level in a dramatic fashion after the Russian revolution in 1917: the Soviet Union expropriated national enterprises without compensation and attempted to rely on its empty standard of national treatment for the protection, or lack of protection, of alien property. The ensuing dispute led, *inter alia*, to the *Lena Goldfields Arbitration* of 1930 in which case the tribunal required the Soviet Union to pay compensation to the alien claimant, based upon the concept of unjust enrichment.⁴⁴

In subsequent decades, a further attack upon the traditional standard of international law was mounted in 1938 by Mexico after the nationalization of US interests in the Mexican agrarian and oil business. This dispute led to a frank diplomatic exchange in which US Secretary of State Cordell Hull wrote a famous letter to his Mexican counterpart, spelling out that the rules of international law allowed expropriation of foreign property, but required 'prompt, adequate and effective compensation'.⁴⁵ The Mexican position echoed the tenet of the Calvo doctrine and also foreshadowed harsh disputes between industrialized and developing countries in later decades of post-decolonization.

The Calvo doctrine, the Russian revolution, and the Mexican position notwithstanding, what had emerged from the various international disputes about the status of the alien in general (not just in regard to foreign investment) in the nineteenth and twentieth century was a widespread sense that the alien is protected from unacceptable measures of the host state by rules of international law that are independent of those of the host state. The sum of these rules eventually became known as the international minimum standard.⁴⁶ The fundamental reasons that prompted the evolution and recognition of these rules are reflected in general terms by the European Court of Human Rights in a relatively modern decision:

Especially as regards a taking of property effected in the context of a social reform, there may well be good grounds for drawing a distinction between nationals and non-nationals as far as compensation is concerned. To begin with, non-nationals are more vulnerable to domestic legislation: unlike nationals, they will generally have played no part in the election or designation of its authors nor have been consulted on its adoption. Secondly, although a taking of property must always be effected in the public interest, different considerations may apply to nationals and non-nationals and there may well be legitimate reason for requiring nationals to bear a greater burden in the public interest than non-nationals.⁴⁷

⁴⁴ For an analysis of the *Lena Goldfields Arbitration* (1930), see, *inter alia*, VV Veeder, 'The Lena Goldfields Arbitration: The Historical Roots of Three Ideas' (1998) 47 ICLQ 747; the text of the award is published as an appendix to A Nussbaum, 'The Arbitration between the Lena Goldfields, Ltd. and the Soviet Government' (1950–1951) 31 ICLQ 42.

⁴⁵ See for the correspondence G Hackworth, *Digest of International Law*, vol. 3 (1942), vol. 5 (1943).

⁴⁶ See H Roth, *The Minimum Standard of International Law Applied to Aliens* (1949); E Borchard, *The Diplomatic Protection of Citizens Abroad* (1915).

⁴⁷ See ECHR, *James & others v. UK*, Judgment of 21 February 1986, para 63.

The minimum standard as it emerged historically concerned the status of the alien in general, applying to such diverse areas as procedural rights in criminal law, rights before tribunals in general, rights in matters of civil law, and rights in regard to private property held by the foreigner. Accidentally, an early leading case on the subject matter, decided in 1926, was concerned with the duty of the host state Mexico to investigate appropriately the circumstances of the unaccounted death of a US national. When the claim of the widow of the US national for compensation for failure to do so was brought before a Mixed Claims Commission, the following statement was issued by the Commission in 1926 in regard to the circumstances under which a host state would be liable due to a violation of the minimum standard:

[T]he treatment of an alien, in order to constitute an international delinquency, should amount to an outrage, to bad faith, to willful neglect of duty, or to an insufficiency of governmental action so far short of international standards that every reasonable and impartial man would readily recognize its insufficiency.⁴⁸

This statement of the standard did not relate specifically to matters of property of the alien and was issued when matters of foreign investment and related issues such as economic growth, development, good governance, and an investment-friendly climate were not yet high on the international agenda. The evolution of the modern understanding of the minimum standard as applied to foreign investment will be discussed below.⁴⁹

The period between 1945 and 1990 saw major confrontations between the growing number of newly independent developing countries, on the one hand, and capital-exporting states, on the other, about the status of customary law governing foreign investment. These were often prompted by ideological positions, by an insistence on strict notions of sovereignty ('Permanent Sovereignty over Natural Resources'),⁵⁰ and by the call for economic decolonization, supported by an economic doctrine calling for independence from centres of colonialism. The new battleground chosen by developing states was now the United Nations General Assembly, where they soon held and still hold the majority of votes. In 1962, an early confrontation ended with a compromise, and GA Resolution 1803 stated that in the case of expropriation, 'appropriate compensation' had to be paid, thus neither explicitly confirming the Hull rule nor the Calvo doctrine.

⁴⁸ *L.F.H. Neer & Pauline Neer v United Mexican States*, 4 RIAA (1951) 60, at 61–62.

⁴⁹ See below, p. 124.

⁵⁰ See R Dolzer, 'Permanent Sovereignty over Natural Resources and Economic Decolonization' (1986) 7 *Human Rights Law Journal* 217; K Gess, 'Permanent Sovereignty over Natural Resources: An Analytical Review of the United Nations Declaration and its Genesis' (1964) 13 *ICLQ* 398; SM Schwebel, 'The Story of the U.N.'s Declaration on Permanent Sovereignty over Natural Resources' (1963) 49 *American Bar Association Journal* 463; C Brower and J Tepe, 'The Charter of Economic Rights and Duties of States: A Reflection or Rejection of International Law?' (1975) 9 *The International Lawyer* 295.

Remarkably, a consensus existed then that foreign investment agreements concluded by a government must be observed in good faith.⁵¹

The developing states decided to take the battle further and brought it to a culmination in 1974, again in the United Nations General Assembly. Encouraged by the success of the oil-producing countries in boycotting Western states and sharp oil price increases, as well as by the then prevailing spirit of economic independence in Latin America, several resolutions were passed that called for a 'New International Economic Order'. One of its cornerstones was the apparent abolition of rules of international law governing the expropriation of alien property and their replacement by domestic rules as determined by national authorities:

Each State has the right: ... (c) To nationalize, expropriate or transfer ownership of foreign property, in which case appropriate compensation should be paid by the State adopting such measures, taking into account its relevant laws and regulations and all circumstances that the State considers pertinent. In any case where the question of compensation gives rise to a controversy, it shall be settled under the domestic law of the nationalizing State and by its tribunals, unless it is freely and mutually agreed by all States concerned that other peaceful means be sought on the basis of the sovereign equality of States and in accordance with the principle of free choice of means.⁵²

Of course, this period of confrontation led to insecurity about the customary international rules governing foreign investment.⁵³ This phase lasted essentially until around 1990. At that time, it became clear that the Socialist view of property had collapsed, together with the end of the Soviet Union, and that the call for economic independence had brought a major financial crisis, rather than more welfare, for the people in Latin America. From now on, Latin American States started to conclude bilateral investment treaties whose spirit was opposed to the Calvo doctrine, and the annual calls for 'Permanent Sovereignty' in the UN General Assembly came to an end.⁵⁴

At the same time, international financial institutions revised their position on the role of private investment, and the so-called Washington Consensus,⁵⁵ with its new emphasis on the private sector in the process of development, summarized the foundation for the now dominant approach to development and its concomitant positive view of private foreign investment. In 1992, the new approach crystallized in the Preamble of the World Bank's Guidelines on the Treatment

⁵¹ 'Foreign investment agreements freely entered into by or between sovereign States shall be observed in good faith'; see UN GA Resolution 1803 (14 December 1962) para 8.

⁵² UN General Assembly Resolution No. 3281, 12 December 1974 ('Charter of Economic Rights and Duties of States').

⁵³ See *INA Corp. v Iran*, 8 Iran-U.S. Claims Tribunal Reports (1985) 373, 386.

⁵⁴ See T Wälde, 'A Requiem for the "New International Economic Order"—The Rise and Fall of Paradigms in International Economic Law and a Post-Mortem with Timeless Significance', in G Hafner, G Loibl, A Rest, L Sucharipa-Behrmann, and K Zemanek (eds), *Liber Amicorum Professor Ignaz Seidl-Hohenveldern* (1998) 771.

⁵⁵ See below, p. 79.

of Foreign Direct Investment. It recognizes 'that a greater flow of foreign direct investment brings substantial benefits to bear on the world economy and on the economies of developing countries in particular, in terms of improving the long term efficiency of the host country through greater competition, transfer of capital, technology and managerial skills and enhancement of market access and in terms of the expansion of international trade'.⁵⁶

Within this new climate of international economic relations, the fight of previous decades against customary rules protecting foreign investment had abruptly become anachronistic and obsolete. The tide had turned, and the new theme for capital-importing states was not to oppose classical customary law, but instead to grant more protection to foreign investment than traditional customary law did, now on the basis of treaties negotiated to attract additional foreign investment. Five decades after it was enunciated, the Hull rule now became a standard element of hundreds of new bilateral investment treaties as well as multilateral agreements, such as the Energy Charter Treaty adopted in 1994 or the North American Free Trade Agreement (NAFTA) in which Mexico decided to join the United States and Canada, also in 1994. Developing countries started to conclude investment treaties among themselves, and the characteristics of these treaties did not significantly deviate from those concluded with developed states.⁵⁷

Thus, ever since the early 1990s, the focus in practice has shifted to the negotiation of new treaties on foreign investment, to their understanding and interpretation. The elucidation of the state of customary law is no longer a central concern of academic commentators either. However, the relevant issues have certainly not disappeared. For instance, in the context of NAFTA, the three state parties decided that the standards of 'fair and equitable treatment' and of 'full protection and security' must be understood to require host states to observe customary law and not more demanding autonomous treaty-based standards.⁵⁸ In consequence, nearly forgotten arbitral decisions—mainly the *Neer* case of 1926—were now unearthed. The importance of this award for the current state of customary law governing foreign investment led to the debate as to whether an arbitral ruling addressing the state of customary law in regard to the duty to prosecute nationals suspected of a crime against a foreigner could form the appropriate vantage point from which contemporary rules governing foreign investment should be developed.⁵⁹

⁵⁶ World Bank Group, 'Guidelines on the Treatment of Foreign Direct Investment' *Legal Framework for the Treatment of Foreign Investment*, Volume 2: *Guidelines* (1992) 35–44.

⁵⁷ See UNCTAD, *Bilateral Investment Treaties 1995–2006: Trends in Investment Rulemaking* (2007).

⁵⁸ See the authoritative interpretation of the NAFTA Free Trade Commission of July 31, 2001, cited in *Pope & Talbot v Canada*, Award on Damages, 31 May 2002, 41 ILM (2002) 1347, para 10.

⁵⁹ See R Dolzer and A von Walter, 'Fair and Equitable Treatment—Lines of Jurisprudence on Customary Law' in F Ortino, L Liberti, A Sheppard, and H Warner (eds), *Investment Treaty Law: Current Issues II* (2007) 99, 103. See also the decision in *Genin v Estonia*, Award, 25 June 2001, 17 ICSID Review-FILJ (2002) 395, para 367; *Mondev v United States*, Award, 11 October 2002,

More recently, one basic doctrinal issue that has arisen in discussion pertains to the impact of more than 2,500 treaties on the evolution of customary law. Not surprisingly, this linkage between customary law and treaty law has been at the forefront of the few comments that have addressed the state of customary law regarding expropriation and compensation of foreign property since 1990.⁶⁰ From an academic viewpoint, the issue certainly remains alive. And given the vagaries of international economic relations, the reference to customary law in some treaties and the patchwork of the current net of treaties with its remaining gaps, it would also be entirely premature to declare that the ongoing controversies on the state of customary law will not occupy foreign offices, judges, and arbitrators in the future.

5. Treaty Law: Evolution and Purpose

The roots of modern treaty rules on foreign investment can be traced back to 1778 when the United States and France concluded their first commercial treaty, followed in the nineteenth century by treaties among the United States and its European allies and, subsequently, the new Latin American States.⁶¹ These early treaties mainly addressed trade issues, but also contained rules requiring compensation in case of expropriation. After 1919, the United States negotiated a series of agreements 'on Friendship, Commerce, and Navigation' (FCN), followed by another series of 21 treaties between 1945 and 1966.⁶²

Rules on investment were never prominent or distinct in these FCN treaties, even though the pre-1945 treaties addressed not just compensation clauses but also provisions on the right to establish certain types of business in the partner state. After 1945, trade matters were regulated in separate treaties, and FCN treaties contained more details on foreign investment. The hiatus in US treaty practice between 1966 and 1982 must be explained by a reluctance of developing states to conclude new treaties of the traditional kind.⁶³

In 1977, the US State Department launched an initiative for the United States to join the European practice of the past two decades to conclude agreements that

42 ILM (2003) 85, paras 100–125; *ADF v United States*, Award, 9 January 2003, 18 ICSID Review-FILJ (2003) 195, paras 175–186; *Waste Management v Mexico*, Award, 30 April 2004, 43 ILM (2004) 967, paras 89–99; *Thunderbird v Mexico*, Award, 26 January 2006, paras 192–194.

⁶⁰ See, eg, S Schwebel, 'The Reshaping of the International Law of Foreign Investment by Concordant Bilateral Investment Treaties' in S Charnovitz, DP Steger, and P van den Bossche (eds), *Law in the Service of Human Dignity: Essays in Honour of Florentino Feliciano* (2005) 241.

⁶¹ See R Wilson, *United States Commercial Treaties and International Law* (1960) 2.

⁶² See KJ Vandeveld, 'The Bilateral Investment Program of the United States' (1988) 21 *Cornell Int'l LJ* 201, 207–208.

⁶³ JW Salacuse, 'Towards a Global Treaty on Foreign Investment: The Search for a Grand Bargain' in N Horn (ed), *Arbitrating Foreign Investment Disputes* (2004) 51, 56; KJ Vandeveld, 'The Bilateral Investment Program of the United States' (1988) 21 *Cornell Int'l LJ* 203–211.

are meant to address issues of foreign investment only, mainly to protect investments of nationals abroad. Following a short period of political hesitation in view of the issue of exporting jobs by way of promoting foreign investment, and a shift of responsibility from the State Department to the US Trade Representative during that period, the United States, between 1982 and 2002, concluded 46 bilateral treaties, mainly with developing states.⁶⁴

The era of modern investment treaties had begun in 1959 when Germany and Pakistan adopted a bilateral agreement, which entered into force in 1962. The special German interest in such treaties stemmed from the fact that Germany had lost the bulk of its earlier foreign investment in negotiated settlements after 1949 with a view to repairing in part the damage it had brought about when starting World War II in violation of international law. Before the negotiations on these settlement treaties had begun, Germany had hoped that private German property would not be affected. Once the matter was decided, the main German negotiator, Hermann Josef Abs, by profession a banker, dedicated enormous efforts to a new initiative to protect foreign investment.

In 1957, Abs called for a 'Magna Charta for the Protection of Foreign Property'⁶⁵ in the form of a global treaty, which was to establish not just specific standards of protection but also a permanent arbitral tribunal charged with the application of the treaty and with the power to lay down economic sanctions against violating states, including non-signatories. When it soon became apparent that the time was not ripe for such a grand approach, Abs opted for a more modest multilateral initiative,⁶⁶ together with Sir Hartley Shawcross. These efforts finally culminated in the Abs-Shawcross Draft, which, together with other contributions such as a Swiss draft,⁶⁷ in 1962 led in turn to the first effort of the Organization for Economic Cooperation and Development (OECD), the

⁶⁴ As to BIT practice of the United States, see KJ Vandeveld, *United States Investment Treaties: Policy and Practice* (1992); KJ Vandeveld, 'A Brief History of International Investment Agreements' (2005) *University of California Davis Journal of International Law and Policy* 157; SM Schwebel, 'The United States 2004 Model Bilateral Investment Treaty: An Exercise in the Regressive Development of International Law' in G Aksent, KH Böckstiegel, MJ Mustill, PM Patocchi, and AM Whitesell (eds), *Liber Amicorum in Honour of Robert Briner: Global Reflections on International Law, Commerce and Dispute Resolution* (2005) 815; J Paulsson, *Denial of Justice in International Law* (2005) 228, 247; K Gugdeon, 'United States Bilateral Investment Treaties' (1986) 4 *International Tax and Business Law* 105; M Clodfelter, 'US State Department Participation in International Economic Dispute Resolution' (2001) 42 *South Texas Law Review* 1273; N Rubins, 'The Arbitral Innovations of Recent US Free Trade Agreements: Two Steps Forward, One Step Back' (2003) 8 *International Business Law Journal* 865; G Gagné and JF Morin, 'The Evolving American Policy on Investment Protection: Evidence from Recent FTAs and the 2004 Model BIT' (2006) 9 *Journal of International Economic Law* 357; W Dodge, 'Investor-State Dispute Settlement between Developed Countries: Reflections on the Australia-United States Free Trade Agreement' (2006) 39 *Vanderbilt Journal of Transnational Law* 1.

⁶⁵ Speech given at the International Industrial Development Conference (San Francisco, 15 October 1957), reprinted in: (1957) *Recht der Internationalen Wirtschaft* 229.

⁶⁶ Drafts of a 'Convention on Investments Abroad', reprinted in: (1959) *Recht der Internationalen Wirtschaft* 150–151.

⁶⁷ Partly reprinted in: (1959) *Recht der Internationalen Wirtschaft* 151.

forum of the capital-exporting countries, to prepare a multilateral treaty.⁶⁸ A second such draft was presented in 1967. However, the efforts to create a multilateral framework remained unsuccessful, mainly due to the fact that the Convention was intended to be applicable not only to OECD member states but to all countries, and that the OECD efforts fell into a period of great divisions between capital-importing and capital-exporting countries concerning the content of recognized principles of foreign investment law.⁶⁹ Eventually, the OECD contented itself with merely recommending the draft as a model for the conclusion of bilateral investment treaties by its member states.⁷⁰ The groundwork was laid for the future investment regime characterized by a lack of a universal treaty and the dominance of bilateral treaties.

Amidst the discussion and multilateral concepts discussed in the late 1950s, Germany had decided to initially launch a bilateral programme for a series of treaties to protect the foreign investment of its companies in the future. The concept was simple and straightforward, namely to protect investments made in accordance with the laws of the host state. As to dispute settlement, the treaties at the time did not provide for direct investor–state dispute settlement procedures, but for the submission of disputes to the International Court of Justice or ad hoc state-to-state arbitration.⁷¹

Soon after Germany had launched its programme and successfully negotiated its first treaties, other European states followed suit: Switzerland concluded its first such treaty in 1961,⁷² France in 1972.⁷³ In 1961 already, two years after the era of bilateral treaties had begun, the World Bank took the lead among the international economic organizations to address the emerging international legal framework of foreign investment, pointing to its mandate and to the link between economic development, international cooperation, and the role of private international investment. The debates then under way in the OECD, in preparation of the 1962 Draft Convention on the Protection of Foreign Property and also in the United Nations on the rules on foreign investment generally, indicated that the state of opinion regarding customary law was deeply divided and that

⁶⁸ See GA van Hecke, 'Le Projet de convention de l'OCDE sur la protection des biens étrangers' (1964) 68 *Revue générale de droit international public* 641.

⁶⁹ The Resolution of the Council of the OECD on the Draft Convention indeed states that '[the Convention] embodies recognized principles relating to the protection of foreign property combined with rules to render more effective the application of these principles'. For the divide between developed and developing countries in the context of the discussion on a 'New International Economic Order', see above, p. 15.

⁷⁰ See R Dolzer and M Stevens, *Bilateral Investment Treaties* (1995) 2.

⁷¹ See, eg, Article 11 of the Bilateral Investment Treaty concluded between Germany and Pakistan on 25 November 1959, UNTS (1963) 24.

⁷² Treaty between Switzerland and Tunisia of 2 December 1961; see N Huu-tru, 'Le Réseau suisse d'accords bilatéraux d'encouragement et de protection des investissements' (1988) 92 *Revue Générale de Droit International Public* 577.

⁷³ Treaty between France and Tunisia of 30 June 1972; see P Juillard, 'Le Réseau français des conventions bilatérales d'investissement: à la recherche d'un droit perdu?' (1987) 13 *Droit et Pratique du Commerce International* 9.

the prospect to find a global consensus on the substance of investment rules was minimal.

In the World Bank, it was the then General Counsel, Aron Broches, who initiated and drove the debates on the possible scope of international consensus. Given the controversies within the United Nations, Broches properly concluded that for the time being the best contribution of the Bank was to provide for effective procedures for impartial settlement of disputes, without attempting to seek agreement on substantive standards. Of course, this approach seemed to be characterized by a degree of artificiality inasmuch as logic would dictate that any system of dispute settlement would have to be based on a set of substantive rules that could be applied. Broches argued that, from a pragmatic point of view, such an axiomatic approach was neither necessary nor productive.

At first sight, the Broches concept ('procedure before substance') seemed to be a limited and modest one. However, he built the design of what was to become, in 1965, the Convention on the Settlement of Investment Disputes between States and Nationals of Other States (ICSID Convention) establishing the International Centre for Settlement of Investment Disputes (ICSID). In retrospect, it has become clear that the creation of ICSID amounted to the boldest innovative step in the modern history of international cooperation concerning the role and protection of foreign investment. This is so because of the combination of five pertinent features of ICSID: (a) foreign companies and individuals can directly bring a suit against their host state; (b) state immunity is severely restricted; (c) international law can be applied to the relationship between the host state and the investor; (d) the local remedies rule is excluded in principle; and (e) ICSID awards are directly enforceable within the territories of all states parties to ICSID.⁷⁴

The success of this concept became apparent when the ICSID Convention entered into force quickly in 1966 and especially when in subsequent decades more and more investment treaties, bilateral and multilateral, referred to ICSID as a forum for dispute settlement. From the point of view of member states, one major advantage of the system was that investment disputes would become 'depoliticized' in the sense that it distanced the dispute from the home state of the investor and thus avoided confrontation, at least direct, between home state and host state.⁷⁵ It is true that, for reasons that are not entirely self-evident, ICSID's caseload remained quite modest for two decades. However, by the 1990s, ICSID had become the main forum for the settlement of investment disputes, and the vision of Broches had become a reality.

The most significant trends in the evolution of BIT practice in the past decade concerns the negotiation of BITs by Asian states. China has concluded 117

⁷⁴ See also F. Lauterpacht, Foreword to Ch. Schreuer, *The ICSID-Convention* (2000) xi; for the remaining role of state immunity, see Ch. Schreuer, *ibid*, Article 55.

⁷⁵ See also I. Shihata, 'Towards a Greater Depoliticization of Investment Disputes: The Roles of ICSID and MIGA' in *The World Bank in a Changing World* (1991) 309.

treaties between 1982 and 2006.⁷⁶ India concluded its first BIT in 1994, had already entered into 26 BITs by 1999, and in 2006 was a party to 56 such treaties. Japan has decided to join the practice of other OECD countries and in 2006 was a party to 12 investment agreements.

Within the past decade, the second key development is the fact that more and more developing states have negotiated BITs among themselves, altogether more than 600. In the period between 2003 and 2006, these treaties outnumbered those between developed and developing states.⁷⁷ One may be inclined to discard a broader significance of this trend by simply pointing to the fact that investors who are nationals of these emerging markets are increasingly themselves considering foreign investment abroad and that their home states seek the kind of special protection granted in investment agreements. While this explanation is correct, these treaties do illustrate the broader point that home states of investors generally are inclined to conclude treaties with guarantees and mechanisms going beyond the rules of customary law and that the underlying concern is not peculiar to traditional western liberal states with outgoing foreign investment. The general point seems to be that home states of investors, whatever their historical background, consider specially negotiated rules desirable. A comparison of treaties concluded between developing countries does not reveal significant differences with agreements concluded with developed states.

Thus, the object and purpose of the existing treaties do not vary fundamentally. Arbitral decisions often refer to the object and purpose of investment treaties. The will of the parties is embodied primarily, but not necessarily completely, in the totality of the treaty's provisions. Generally speaking, describing the 'object and purpose' amounts in practice to devising a shorthand formula for the parties' fundamental intentions in the conclusion of the treaty and the intentions and aims pursued by the treaty as accepted. Often, these are addressed in formal language in the preamble of a treaty.

The Vienna Convention on the Law of Treaties (VCLT) refers to the object and purpose in Article 18, laying down the obligation of a state that has signed but not yet ratified a treaty and, more importantly, in Article 31, which sets forth the rules of interpretation. These rules include the object and purpose of the treaty.⁷⁸ Given the broad nature of some standards contained in investment treaties and the evident need for their interpretation in individual cases, it is thus in

⁷⁶ On the evolution of China's attitude toward foreign investment, see D Chow, *The Legal System of the People's Republic of China in a Nutshell* (2003) 374 ff.

⁷⁷ See UNCTAD, *Bilateral Investment Treaties 1995–2006: Trends in Investment Rulemaking* (2007) 18. Foreign investment of multinational companies based in emerging markets flowing to developed states has risen sharply in the past decade (from 1 billion to 6 billion), but the volumes flowing to other developing states have reached a higher level (increase from 15 billion to 45 billion \$); see J Santiso, 'The Emergence of Latin Multinationals', Deutsche Bank Research, 7 March 2007.

⁷⁸ 'A treaty shall be interpreted in good faith in accordance with the ordinary meaning to be given to the terms of the treaty in their context and in the light of its object and purpose.'

conformity with the VCLT that tribunals have repeatedly referred to the object and purpose of investment agreements when interpreting and applying them.⁷⁹

It is reasonable to assume that the object and purpose of investment treaties is closely tied to the desirability and to the nature of foreign investments, to the benefits for the host state and for the investor, to the conditions necessary for the promotion of foreign investment, and, conversely, to the removal of obstacles that may stand in the way of allowing and channelling more foreign investment into the host states. Thus, the purpose of investment treaties is to address the typical risks of a long-term investment project, and thereby to provide for stability and predictability in the sense of an investment-friendly climate.

In investment treaties, preambles invariably serve to highlight the positive role of foreign investment in general and the nexus between an investment-friendly climate and the flow of foreign investment in particular.⁸⁰ A typical contemporary version of a preamble reads:

The Government of X and the Government of Y; desiring to create favourable conditions for greater investment by nationals and companies of one State in the territory of the other State; recognising that the encouragement and reciprocal protection under international agreement of such investments will be conducive to the stimulation of individual business initiative and will increase prosperity in both States; have agreed as follows:⁸¹

It is true that such language on foreign investment would not have been subscribed to by all governments in the past and may also seem controversial from the point of view of some governments and commentators today. At the same time, it is precisely the evolution in the attitudes on foreign investment in the recent past that makes it plausible today to assume that the wording chosen by the parties must be understood at face value.

While these considerations are not controversial in principle, speculations relating to reciprocity of obligations in treaties, to the *quid pro quo* underlying treaties, and to the mutual benefit may be raised in the identification of the object and purpose of an investment treaty. All of these concerns relate to a common underlying theme, which suggests that treaties on foreign investment in their traditional and current version place obligations solely on the host state without equal commitments on the parts of the home state and of the foreign investor.

Such concerns reflect the assumption that all types of treaties are necessarily based upon a similar structure and upon a pattern of reciprocity and mutuality that must be reflected in the terms of the treaty itself. However, the very nature of the law of aliens, being at the origin of foreign investment law, indicates that the *raison d'être* of this field of law does not reflect a direct link to the traditional themes of reciprocity and mutuality, but instead sets accepted standards for the unilateral conduct of the host state. The context and nature of a foreign

⁷⁹ See below, p. 32.

⁸⁰ R Dolzer and M Stevens, *Bilateral Investment Treaties* (1995) 20–25.

⁸¹ See Preamble of the UK Model BIT.

investment reveals a structural setting that does not correspond to a transaction or to an agreement in which distinct privileges are simultaneously exchanged on a mutual basis by two parties. Notions of mutuality and reciprocity are not absent from the regime of an investment treaty, but they do not operate in the same manner as in a classical agreement. Instead, they are focused on the mutual benefit of host state and investor and on the complementarity of interest flowing from the long-term commitment of resources by the foreign investor under the territorial sovereignty of the host state.

In an investment treaty, the host state deliberately renounces an element of its sovereignty in return for a certain new opportunity: the chance to better attract new foreign investments, which it would not have acquired in the absence of a treaty. It is true that this *quid pro quo* underlying the policy choice on the part of the host state is based on a policy judgement, the nature of which escapes precise abstract evaluation inasmuch as it is based upon assumptions about the effect of the treaty, which are objectively uncertain.⁸² As with every treaty,⁸³ the acceptance of an investment treaty by a state and the determination of the desirable type and extent of obligations contained in it represents an exercise of the sovereign power to be made freely by each state in the light of its circumstances and preferences.

Once the sovereign has decided in favour of a treaty, however, the balancing of interests and aspirations contained in the treaty will no longer be subject to a unilateral decision that would alter the terms of the treaty. Nor does the exercise of the sovereign right to conclude an investment treaty subsequently provide any legitimate cause to question the balance of interests contained in an agreement or to engage in any effort for a readjustment of the interests and obligations laid down in the agreement. Whenever an investment treaty is concluded, the investor is entitled to rely on the scheme accepted in the treaty by the host state as long as the treaty remains in force.

Investment treaties do not cast the interests and benefits of the host state and of the investor in an antithetic mode; instead, the motivation underlying such treaties assumes that the parties share a joint purpose. In this sense, it would be alien to the nature of an investment treaty to contrast the interests of the host state and of the foreign investor as opposed to each other. The mode and spirit of investment treaties is to understand the two interests as mutually compatible and reinforcing, held together by the joint purpose of an implementation of the

⁸² See above, p. 8.

⁸³ See the statement made by the Permanent Court of International Justice in the *Wimbledon* case: 'The Court declines to see in the conclusion of any Treaty by which a State undertakes to perform or refrain from performing a particular act an abandonment of its sovereignty. No doubt any convention creating an obligation of this kind places a restriction upon the exercise of the sovereign rights of the State, in the sense that it requires them to be exercised in a certain way. But the right of entering into international engagements is an attribute of State sovereignty' (PCIJ, *Wimbledon* (*France v Germany*), 17 August 1923, Series A No. 1, 25).

investment consistent with the business plan of the investor and the legal order of the host state.

As noted above, the expansive treaty practice has raised the question of its relationship to customary law. As to rules of general application, customary international law remains highly relevant for the practice of investment arbitration. Rules on attribution and rules on damages illustrate the point. The growing case law in the area of foreign investment has indeed led to a situation in which some general rules of international law find their major practical expression in foreign investment law. The consequence is that a full contemporary understanding of these rules requires knowledge of their interpretation and application in foreign investment law cases.

6. Current Trends in Treaty Practice

Recent discussion has turned to the coverage by investment treaties of certain claims, including counter-claims, of the host state or obligations of the foreign investor to observe certain human rights or environmental or labor standards. Such innovations to BIT practice have indeed been proposed.⁸⁴ They would be in line with the objectives of earlier ideas pursued in the United Nations for a Code of Conduct for Transnational Corporations as well as with the more recent concepts and resolutions on corporate responsibility, as they are also in part implied in the OECD Guidelines for Multinational Corporations adopted in 1978 and revised in 2000.

Parallel to the failure to negotiate a multilateral treaty on foreign investment, these efforts within the UN to agree on non-binding rules broke down as well. An attempt to draw up a code of conduct on transnational corporations was made between 1977 and 1992, but was then abandoned.⁸⁵

The OECD has adopted its guidelines for multinational enterprises in 1976 and revised them in 2000.⁸⁶ The guidelines, which are part of the broader OECD Declaration on International Investment and Multinational Enterprises, constitute voluntary recommendations to multinational enterprises in areas such as employment, human rights, environment, fighting bribery, science and technology, competition, taxation, information disclosure and consumer interests. Within the administration of the adhering governments, so-called National

⁸⁴ See, eg, H Mann, K von Moltke, A Cosbey, and LE Peterson, IISD Model International Agreement on Investment for Sustainable Development (2005) available at <<http://www.iisd.org>>; U Kriebaum, 'Privatizing Human Rights. The Interface between International Investment Protection and Human Rights' in A Reinisch and U Kriebaum (eds), *The Law of International Relations: Liber Amicorum Hanspeter Neubold* (2007) 165.

⁸⁵ See Draft UN Code of Conduct on Transnational Corporation, reprinted in 23 ILM (1984) 626.

⁸⁶ The Guidelines are reprinted in 40 ILM (2001) 143. See also S Tully, 'The 2000 Review of the OECD Guidelines for Multinational Enterprise' (2001) 50 ICLQ 394.

Contact Points are charged with the promotion of the guidelines and the handling of enquiries about their application. All 30 OECD member countries as well as nine non-member states have so far adhered to the OECD guidelines.

In 2003, a group of international banks launched an initiative for a framework for addressing environmental and social risks in project financing.⁸⁷ The so-called 'Equator Principles' are intended to apply to all project financings with total project capital costs of over US\$10 million and require, *inter alia*, social and environmental assessment procedures and consultation, disclosure, and monitoring mechanisms. For the applicable standards, the principles refer to various World Bank and IFC guidelines. Over 50 financial institutions have adopted the Equator Principles until today.

An effort to approach investment issues from the vantage point of human rights was made in the UN after 2000; the aim was to find a consensus on norms addressing responsibilities of transnational corporations,⁸⁸ and the UN named a Special Representative for human rights and transnational corporations and other business entities in 2005, tasked with 'identifying and clarifying standards of corporate responsibility and accountability with regard to human rights'. However, it remains to be seen whether this effort will lead to any agreement in view of the apparent lack of a wide support by governments.⁸⁹

Whether the object and purpose of investment treaties—the increased flow of foreign investment—would be promoted or hindered by an extension of the subject matters of the treaties, and a corresponding new design of their nature, will have to be a necessary part of the future discussion on the usefulness of BITs in their traditional scope.

In actual state practice, the traditional character of bilateral investment treaties has been reconsidered from quite a different angle. Whereas the classical BIT of the past decades has addressed only issues of foreign investment,⁹⁰ there is a recent trend to negotiate provisions on foreign investment in the context of agreements, remarkably called free trade agreements, which also address trade issues. This trend seems to have started with the agreement between Canada and the United States in 1989, which formed the basis for the NAFTA concluded in 1994 between these two states and Mexico. With the recent tendency to conclude bilateral or regional trade agreements in addition to the global rules of the World Trade Organization (WTO), states have been inclined to conclude broad agreements on economic cooperation regionally or bilaterally, instead of agreements

⁸⁷ See S Kass and J McCarroll, 'The Revised Equator Principles' (1 September 2006) *The New York Law Journal*; A Hardenbrook, 'The Equator Principles: The Private Financial Sector's Attempt at Environmental Responsibility' (2007) 40 *Vanderbilt Journal of Transnational Law* 197.

⁸⁸ See D Weissbrodt and M Kruger, 'Norms on the Responsibilities of Transnational Corporations and Other Business Enterprises with Regard to Human Rights' (2003) 97 *AJIL* 901.

⁸⁹ See D Kinley and R Chambers, 'The UN Human Rights Norms for Corporations: The Private Implications of Public International Law' (2006) *Human Rights Law Review* 447.

⁹⁰ Since 2006 ICSID allows third-party interventions, which may address, *inter alia*, matters pertaining to human rights or environmental standards.

specifically aimed at matters of trade or foreign investment. The number of broader free trade agreements including rules on foreign investment has doubled during the past five years, and dozens of such treaties remain under negotiation.⁹¹

Parallel to this development a discussion has evolved on the usefulness of a multilateral investment treaty as an alternative to the present patchwork of bilateral treaties. Following its earlier efforts in the 1960s towards the creation of a multilateral investment treaty,⁹² the OECD decided in 1995 to launch a new initiative in this direction. These negotiations, which took place from 1995 and 1998, built, to a considerable extent, on the substance of existing bilateral treaties. The last draft dated 22 April 1998⁹³ indicates major areas of consensus and some points of disagreement as they stood at the time. While the draft shows that the negotiations had indeed progressed to a considerable extent, the discussions were halted in 1998. Several unrelated reasons had led to the breakdown.⁹⁴ The United States had never stood fully behind the initiative inasmuch as the Executive branch was concerned about the domestic political support necessary for ratification; also, the level of protection for foreign investment anticipated by the Administration appeared to be unsatisfactory due to a number of compromises. In Europe, France decided in the latter stage of the negotiations that an agreement might not be compatible with its desire to protect French culture (*exception culturelle*). NGOs argued that the debates within the OECD had been held without sufficient public knowledge and input. Also, from the beginning, there was an open issue as to whether the OECD, representing mainly capital-exporting countries, was the proper forum to negotiate a treaty meant to serve as a global instrument. In the end, these different aspects converged to undermine and halt support for the negotiations within the OECD.

In a partially overlapping effort, the WTO had already placed the issue of a multilateral investment treaty on its agenda during a meeting in Singapore in 1996, in the middle of the OECD negotiations. The WTO Agreement of 1994 had embodied a first step of the trade organization into the field of foreign investment; the so-called TRIMS Agreement⁹⁵ was to regulate those aspects of foreign investment that led to direct negative consequences for a liberalized trade regime. In particular, this Agreement regulates issues of so-called performance

⁹¹ See UNCTAD, *World Investment Report* (2006) 27.

⁹² See above, pp. 18, 19.

⁹³ Available at <<http://www1.oecd.org/daf/mai>>.

⁹⁴ See generally the different contributions to (1998) 31 *Cornell International Law Journal* No. 3. See also Société française de droit international (ed), *Un accord multilatéral sur l'investissement: d'un forum de négociation à l'autre?* (1999); UNCTAD, *Lessons from the MAI: UNCTAD Series on Issues in International Investment Agreements* (1999); EC Nieuwenhuys and MMTA Brus (eds), *Multilateral Regulation of Investment* (2001).

⁹⁵ Agreement on Trade Related Investment Measures (TRIMs). See generally T Brewer and S Young, 'Investment Issues at the WTO: The Architecture of Rules and the Settlement of Disputes' (1998) 1 *Journal of International Economic Law* 457; M Koulen, 'Foreign Investment in the WTO', in EC Nieuwenhuys and MMTA Brus (eds), *Multilateral Regulation of Investment* (2001) 181–203.

requirements imposed by the host state upon foreign investors and aims at reducing or eliminating laws that require that local products are used in the production process by foreign investors (local content requirements). The further development of the emerging investment agenda of the WTO was addressed but not decided in 1996. In 2004, six years after the end of the OECD initiative, the efforts within the WTO to include investment issues generally into the organization's mandate also came to a halt.⁹⁶

Even though developing countries had negotiated more than a thousand treaties, they were not prepared to accept a WTO-based multilateral treaty, arguing that such a multilateral scheme might unduly narrow their regulatory space and that the effect of such a treaty would need to be studied in greater detail. Brazil and India in particular took this position. The support of the United States for a multilateral treaty was again limited, for reasons similar as in 1998 within the OECD. Thus, by 2004, the European Union had to accept that the time was still not ripe for such a grander scheme. Today, it remains to be seen whether the international community will continue to develop its patchwork approach to foreign investment or whether the advantages of more global homogeneity will eventually be accepted.

7. Regional Agreements: Energy Charter, NAFTA

The first multilateral treaty containing substantive rules on foreign investment was of a sectoral nature and not meant for universal membership. The Energy Charter Treaty of 1994⁹⁷ essentially grew out of the desire of European states to cooperate closely with Russia and the new states in Eastern Europe and Central Asia in exploring and developing the energy sector, which is of crucial political, economic, and financial importance for both sides. Membership was open to all states committed to the establishment of closer cooperation and an appropriate international legal framework in the energy sector.

The scope of the treaty is not limited to investments but covers a wide range of issues, such as trade, transit, energy efficiency, and dispute settlement. The chapter on investment is mostly patterned along the lines of bilateral treaties concluded by the member states of the European Union. However, the treaty also

⁹⁶ See Decision of the WTO General Council of 1 August 2004 on the Doha Agenda Work Program (available at <<http://www.wto.org>>).

⁹⁷ The text of the Energy Charter Treaty can be found at 34 ILM (1995) 360. See generally C Ribeiro (ed), *Investment Arbitration and the Energy Charter Treaty* (2006); T Wälde, 'Investment Arbitration under the Energy Charter Treaty: An Overview of Selected Key Issues Based on Recent Litigation Experience' in N Horn (ed), *Arbitrating Foreign Investment Disputes* (2004) 193; R Happ, 'Dispute Settlement under the Energy Charter Treaty' (2002) 45 *German Yearbook of International Law* 331; T Wälde, 'International Energy Law: An Introduction to Modern Concepts, Context, Policy and Players' in JP Schneider and C Theobald, *Handbuch zum Recht der Energiewirtschaft* (2003) 1129–1166.

contains some innovative features, such as special provisions concerning state entities and sub-national authorities,⁹⁸ and a 'best efforts' clause concerning non-discrimination in the pre-establishment phase,⁹⁹ coupled with an expression of intent to transform it into a legally binding obligation in the future.¹⁰⁰

The treaty entered into force in 1998 and the first case under the treaty was decided in 2003.¹⁰¹ So far, 46 states have ratified the treaty. Russia has signed, but not ratified the charter. Under the treaty, investors have the right to bring a suit before ICSID, before an arbitral tribunal established under the UNCITRAL arbitration rules, before the Arbitration Institute of the Stockholm Chamber of Commerce or before the courts or administrative tribunals of the respondent state.¹⁰² Fifteen investment disputes have been initiated as of April 2007 under the framework of the Energy Charter Treaty.

Whereas the Energy Charter Treaty has a strictly sectoral scope, the North American Free Trade Agreement (NAFTA) between Canada, the United States of Mexico, and the United States of America (1994),¹⁰³ addresses both matters of trade and investment. The treaty aims at the free movement and liberalization of goods, services, people, and investment. The famous Chapter 11 of NAFTA specifically addresses the treatment of investments, following the objectives, enunciated in Article 102, to establish a secure investment environment through the elaboration of clear rules of fair treatment of foreign investment, to remove barriers to investment by eliminating or liberalizing existing restrictions, and to provide an effective means for the resolution of disputes between an investor and the host government.¹⁰⁴

⁹⁸ See Articles 22 and 23 of the Energy Charter Treaty.

⁹⁹ Article 10(2) Energy Charter Treaty.

¹⁰⁰ Article 10(4) Energy Charter Treaty.

¹⁰¹ See T Wälde and K Hobér, 'The First Energy Charter Treaty Arbitral Award' (2005) 22 *Journal of International Arbitration* 83.

¹⁰² Article 26 Energy Charter Treaty.

¹⁰³ The text of the NAFTA can be found at 32 ILM (1993) 605.

¹⁰⁴ See N Kinnear, A Bjorklund, and J Hannaford, *Investment Disputes under NAFTA* (2006); T Weiler (ed), *NAFTA Investment Law and Arbitration: Past Issues, Current Practice, Future Prospects* (2004); B Legum, 'Lessons Learned from the NAFTA: The New Generation of US Investment Treaty Arbitrations Provisions' (2004) 19 ICSID Review-FILJ 344; id., 'Federalism, NAFTA Chapter XI and the Jay Treaty of 1794' (2001) 18 ICSID News 6; Ch Brower, 'NAFTA's Investment Chapter: Initial Thoughts about Second-Generation Rights' (2003) 36 *Vanderbilt Journal of Transnational Law* 1533; Ch Brower, 'Structure, Legitimacy and NAFTA's Investment Chapter' (2003) 36 *Vanderbilt Journal of Transnational Law* 37; G Aguilar Alvarez and W Park, 'The New Face of Investment Arbitration: NAFTA Chapter 11', (2003) 28 *Yale Journal of International Law* 365; JJ Coe, 'Taking Stock of NAFTA Chapter 11 in its Tenth Year: An Interim Sketch of Selected Themes, Issues and Methods' (2003) 36 *Vanderbilt Journal of Transnational Law* 1381; MJ Staff and Ch W Lewis, 'Arbitration under NAFTA Chapter 11: Past, Present and Future' (2003) 25 *Houston Journal of International Law* 301; B Legum, 'The Innovation of Investor-State Arbitration under NAFTA' (2002) 43 *Harvard International Law Journal* 531; DA Gantz, 'Potential Conflicts between Investor Rights and Environmental Regulation under NAFTA's Chapter 11' (2001) 33 *George Washington International Law Review* 651; Ch Brower, 'Investor-State Disputes under NAFTA: The Empire Strikes Back' (2001) 40 *Columbia Journal of Transnational Law* 43; LE Trakman, 'Arbitrating Investment Disputes under NAFTA' (2001) 18 *Journal of International*

The trade provisions in NAFTA are largely built on rules of the WTO, of which all three NAFTA countries are members. In contrast, only the United States at the time was a member of ICSID; more importantly, Chapter 11 amounted to an innovative bold scheme inasmuch as it tied Mexico as a developing country to its two northern developed neighbours against a history replete with dissent specifically in investment matters.¹⁰⁵ In its substance, Chapter 11 builds upon the treaty practice of the United States, including the treaty with Canada concluded in 1989.

The tripartite structure of Chapter 11 contains substantive obligations in Section A (Articles 1101 to 1114), rules on dispute settlement in Section B (Articles 1115 to 1138), and a number of definitions in Section C (Article 1139).

The substantive obligations cover traditional provisions such as national treatment, most-favoured nation treatment, performance requirements, the selection of senior management and board of directors, transfers, and possible denial of benefits to investors owned or controlled by investors of non-NAFTA states. In actual practice, the rules on expropriation (Article 1110) and on the 'Minimum Standard of Treatment' (Article 1105) have received most attention and have led to a number of legal disputes and public controversies. The text of Article 1110 on expropriation does not significantly deviate from the pattern generally known in international treaty practice. Nevertheless, serious concern was expressed in a public debate, by NGOs especially, concerning the effect of the clause on 'a measure tantamount to nationalization or expropriation'. This controversy focused on the question whether measures to promote the environment, health, safety, or social matters might fall under the clause and therefore chill efforts to promote these social values. As regards the environment, Article 1114 paragraph 1 singles out measures 'undertaken in a manner sensitive to environmental concerns' and declares that such measures shall not be prevented if 'otherwise consistent with this Chapter'.

Whereas so far the jurisprudence on Article 1110 evolved on the basis of arbitral decisions,¹⁰⁶ the provision on the minimum standard in Article 1105 was first interpreted by tribunals,¹⁰⁷ but then, in 2001, formed the subject of a Note of Interpretation, which seemed to clarify the provision by way of stating that it was meant to refer to customary law rather than a higher standard.¹⁰⁸ This

Arbitration 385; HC Alvarez, 'Arbitration under the North American Free Trade Agreement' (2000) 16 *Arbitration International* 393; JE Alvarez, 'Critical Theory and the North American Free Trade Agreement's Chapter Eleven' (1997) 28 *University of Miami Inter-American Law Review* 303.

¹⁰⁵ With regard to Mexico and NAFTA, see J Preston and S Dillon, *Opening Mexico: The Making of Democracy* (2005).

¹⁰⁶ See below, p. 96.

¹⁰⁷ See especially *Metalclad v Mexico*, Award, 30 August 2000, (2001) 16 ICSID Review-FILJ 168.

¹⁰⁸ NAFTA practice also evolved in regard to matters of transparency. In 2001 the parties clarified in a Note that the existing rules did not impose an obligation of confidentiality, and since then all documents of general public interest in the cases are made available on the Internet.

Note and rulings on Article 1110 notwithstanding, the guarantees laid down in Section A have continued to cause some controversy.

As regards dispute settlement as governed by Section B, an investor has the choice to bring a suit against the host under the rules of ICSID if both the home state and the host state have adhered to ICSID. A second choice is to submit the dispute to the ICSID Additional Facility Rules of 1978, which do not require that both states are ICSID parties. The Additional Facility follows rules different from ICSID regarding the applicable law (no reference to law of host states) regarding annulment (no annulment under ICSID rules, but review by domestic courts) and enforcement (no enforcement under ICSID rules). The third choice of the investor is to have the arbitration governed by the UNCITRAL Arbitration Rules.

The right of the investor to file a suit against the host state laid down in Section B is limited to breaches of rules contained in Section A. As regards rules in other parts of the agreement, such as those on transparency, only the member states may bring them before an arbitral tribunal (Chapter 20, Article 2004). The member states also have a right to make a submission on a question of interpretation if they are not a party to a dispute (Article 1128).

From a broader perspective of international economic law, the most remarkable feature of the dispute resolution scheme contained in NAFTA lies in the fact that while it addresses both matters of trade and investment, it contains separate rules on dispute resolution, and, in accordance with the practice of previous decades, recognizes the right to bring a suit for an investor but not for a trader. This dualism now seems to be entrenched in state practice, some divergences and concerns notwithstanding.